

MTY's path to coveted 100-bagger status

Revenues		# of		
(mill)	EPS	locations	Share	Price
2008	\$34.24	\$0.52	1023	\$7.34
2009	\$51.50	\$0.64	1570	\$9.15
2010	\$66.90	\$0.81	1727	\$14.40
2011	\$78.50	\$0.84	2263	\$15.30
2012	\$96.20	\$1.15	2199	\$22.25
2013	\$101.40	\$1.34	2590	\$34.34
Growth	7.8x	12.4x	9x	100x

So, again, you need huge growth in earnings. But the combination of rising earnings and a higher multiple on those earnings is really what drives explosive returns over the long-term. And in this case, long-term wasn't really all that long — just 10 years.

I call these two factors — growth in earnings and a higher multiple on those earnings — the “twin engines” of 100-baggers. We will come to this point again.

Microcaps and 100-Baggers

As usually defined, a microcap is a stock with a market cap of less than \$300 million.

Microcaps actually dominate the market in terms of number of stocks. There are about 16,000 publicly traded stocks in the United States. About 7,360 are under \$500 million. From there, here's how the market caps break down, from Dave Gentry's book *Microcap Superstars*:

- 7,360 under \$500 million
- 6,622 under \$250 million
- 5,713 under \$100 million
- 5,053 under \$50 million

That means at least 40 percent of the companies in the market are microcaps. This is a vast area to explore. And somewhere in this mix are tomorrow's big companies. I'm stating the obvious, but many big companies started out small. Gentry lists among these the following:

- Starbucks began in 1971 in Seattle as a small store selling coffee beans and today is worth \$76 billion in the stock market.
- Apple began in 1976 in a garage with a \$10,000 investment